

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 23-05

RAHAL INTERNATIONAL, INC.,
Complainant,

v.

HAPAG-LLOYD AG and HAPAG-LLOYD (AMERICA) LLC,
Respondents and Third-Party Complainants,

v.

MAHER TERMINALS, LLC, GCT NEW YORK LP AND GCT BAYONNE LP,
Third-Party Respondents.

**JOINT MOTION FOR APPROVAL AND CONFIDENTIAL TREATMENT OF THE
SETTLEMENT AGREEMENT AND MUTUAL RELEASE AND
VOLUNTARY DISMISSAL**

Complainant Rahal International, Inc. (“Rahal”), Respondents and Third-Party Complainants Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (collectively, “Hapag”) (each a “Party” and collectively, the “Parties”) have reached a full and final settlement of all matters in dispute between them in this proceeding.

Pursuant to 46 C.F.R. §§ 502.72(a)(3), 502.5, and 502.13(c), the undersigned counsel for the Parties hereby respectfully submit this Joint Motion for Approval and Confidential Treatment of the Settlement Agreement and Mutual Release, and Voluntary Dismissal (the “Motion”) requesting an order: (a) permitting the filing, under seal, of the Settlement Agreement and Mutual Release (the “Settlement Agreement”); (b) approving the Settlement Agreement; (c) on the basis of the Settlement Agreement, if approved, dismissing Rahal’s claims against Hapag in this action with prejudice; (d) on the basis of this Settlement Agreement, if approved, dismissing Hapag’s

claims against the Third-Party Respondents without prejudice; and (e) maintaining the confidentiality of the Settlement Agreement.

PROCEDURAL HISTORY

On June 30, 2023, the Federal Maritime Commission (the “Commission”) issued a Notice of Filing of Complaint and Assignment, providing that Rahal filed a Complaint against Hapag, alleging that Hapag violated 46 U.S.C. §§ 41102(c), 41104(a)(2)(A), 41104(a)(14), 41104(a)(15), 41104(d), and the Commission’s regulations at 46 C.F.R. §§ 545.4 and 545.5, in connection with the delivery of Rahal’s cargo from overseas suppliers to the United States through the Port of New York and New Jersey (“PNYNJ”).

On September 8, 2023, the Commission issued a Notice of Filing of Third-Party Complaint, noting that Hapag filed a Third-Party Complaint in this proceeding against Maher Terminals, LLC (“Maher”), GCT New York LP (“PLNY”), and GCT Bayonne LP (“PLB”)¹ (collectively, the “Third-Party Respondents”), alleging that the Third-Party Respondents violated 46 U.S.C. § 41102(c) and the Commission’s regulations at 46 C.F.R. § 545.5, by failing to establish, observe, and enforce just and reasonable regulations and practices related to or connected with receiving, handling, storing, or delivering Rahal’s cargo, and to the extent Hapag is found liable for violations alleged by Rahal, that liability should pass to the Third-Party Respondents.

On October 3, 2023, Maher filed an answer to the Third-Party Complaint. That same day, PLNY and PLB filed the Motion to Dismiss and Memorandum of Law in Support of Third-Party Respondents’ Motion to Dismiss (collectively, the “Motion to Dismiss”). On October 18, 2023, Hapag filed an opposition in response to the Motion to Dismiss (the “Dismissal Opposition”), to

¹ Effective on or about August 31, 2023, GCT New York LP and GCT Bayonne LP underwent conversions to limited liability companies and ultimately changed their names to Port Liberty New York LLC and Port Liberty Bayonne LLC, respectively.

which PLNY and PLB filed a reply to the Dismissal Opposition on October 25, 2023. On December 6, 2023, the Administrative Law Judge issued the Order on Third-Party Respondents' Motion to Dismiss, denying the Motion to Dismiss.

On December 20, 2023, the parties filed a Revised Joint Motion to Amend Schedule (the "Motion to Amend") seeking to extend the close of discovery to April 26, 2024 and the close of briefing to July 1, 2024. On December 21, 2023, the Administrative Law Judge issued an Amended Scheduling Order granting the Motion to Extend.

After engaging in voluminous discovery, Rahal and Hapag proceeded to negotiate a definitive settlement agreement, which was finalized with an effective date of February 12, 2024. A true and accurate copy of the executed Settlement Agreement has been filed for review herewith under seal, pursuant to the motion for confidential treatment herein. As explained below, the Parties are of the opinion that the Settlement Agreement meets the requirements established by the Commission for the approval of settlement agreements, to the extent such approval is required.² Accordingly, the Parties move for approval of this Settlement Agreement, dismissing Rahal's claims against Hapag with prejudice, and dismissing Hapag's claims against the Third-Party Respondents without prejudice.

THE SETTLEMENT AGREEMENT SHOULD BE APPROVED

The Commission's regulations allow settlements by litigating parties but, except as otherwise provided, requires that settlement agreements be submitted "for determination as to whether the settlement appears to violate any law or policy and to ensure the settlement is free of fraud, duress, undue influence, mistake, or other defects which might make it unapprovable." *Maher Terminals v. The Port Authority of N.Y. & N.J.*, 34 S.R.R. 322, 325 (FMC 2016). In

² The Settlement Agreement memorializes the Parties' mutual understanding that the settlement is not an admission of fault or liability and without precedential value.

reviewing settlement agreements, the Commission is guided by its “strong and consistent policy of encouraging settlements and engaging in every presumption which favors a finding that they are fair, correct, and valid.” *Maheer Terminals*, 34 S.R.R. at 326 (quoting *APM Terminals North America, Inc. v. Port Authority of N.Y. & N.J.*, 31 S.R.R. 623, 626 (FMC 2009)). ““Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.”” *Mac Indus., Inc. d/b/a Mac Container line, v. Cosco Shipping lines Co., ltd.*, Docket No. 20-09, 2020 WL 4464298, at *2 (FMC July 29, 2020) (quoting *APM Terminals N Am., Inc.*, 31 S.R.R. at 626).

Evaluating a settlement entails whether such agreement “reflects careful consideration by the parties of a variety of factors, including the relative strengths of their positions weighed against the risks and costs of continued litigation.” *APM Terminals N Am., Inc.*, 31 S.R.R. at 636 (quoting *Delhi Petroleum Pty. Ltd. v. U.S. Atlantic & Gulf/Australia – New Zealand Conf. and Columbus Line, Inc.*, 24 S.R.R. 1129, 1134 (ALJ 1988)). Moreover, the Commission will examine whether the “proffered settlement does not appear to violate any law or policy and is free of fraud, duress, undue influence, mistake or other defects which might make it unprovable despite the strong policy of the law encouraging approval of settlements.” *Aeneas Exporting LLC v. Carlo Shipping Int’l, Inc.*, Docket No. 20-11, 2020 WL 5942148, at *1 (ALJ Aug. 24, 2020) (citing *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, Docket No. 78-13, 18 S.R.R. 1085, 1093 (ALJ Nov. 29, 1978)).

Here, Rahal and Hapag are sophisticated corporate entities that engaged in arm’s length negotiations and support the Motion and the relief it seeks. The Settlement Agreement does not undermine any law or public policy and is free of fraud, duress, undue influence, mistake, or other defects. Further, the Settlement Agreement is a fair and reasonable resolution of this dispute

between Rahal and Hapag and reflects their mutual desire to resolve their issues without the need for costly litigation and the Commission's resources. For these reasons, Rahal and Hapag respectfully request that the Settlement Agreement be approved, Rahal's claims against Hapag be dismissed with prejudice, and Hapag's claims against the Third-Party Respondents be dismissed without prejudice.

REQUEST FOR CONFIDENTIAL TREATMENT AND LEAVE TO FILE UNDER SEAL

The Commission regularly affords confidential treatment to settlement agreements pursuant to 46 C.F.R. § 502.5, recognizing that they "often contain sensitive commercial information that should be protected from public disclosure." *D.F. Young, Inc. v. NYK Line (North America) Inc.*, Docket No. 16-02, 2018 WL 2411779, at *2, 1 F.M.C.2d 135, 136-37 (FMC 2018). "If parties wish to keep the terms of their settlement agreements confidential, the Commission, as well as the courts, have honored such requests." *Marine Transport. Logistics, Inc. v. CMA-CGM (America) LLC*, Docket No. 18-07, 2020 WL 948582, at *3 (FMC Feb. 18, 2020) (quoting *Al Kogan v. World Express Shipping, Transp. and Forwarding Servs., Inc.*, Docket No. 00-04, 29 S.R.R. 68, 70 n.7 (ALJ Dec. 15, 2000)).

In this action, the Settlement Agreement is the result of confidential commercial negotiations between Rahal and Hapag, the matters settled are commercially sensitive, and the terms of the settlement are commercially sensitive. The confidentiality of the settlement was an express term agreed upon between the Parties and includes an exception for disclosure where required by law. Therefore, Rahal and Hapag respectfully move for confidential treatment of the Settlement Agreement submitted under seal for review and approval, and that the Settlement Agreement be afforded confidential treatment by the Commission.

DATE: February 26, 2024

Respectfully Submitted,

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